FALLBROOK UNION ELEMENTARY SCHOOL DISTRICT
MEASURE K

(This measure will appear on the ballot in the following form.)

MEASURE K

To update local elementary and middle schools without increasing tax rates; replace failing roofs, plumbing and electrical systems; improve school safety; construct/repair/acquire classrooms, labs, facilities, equipment, and sites; and qualify for State matching funds; shall Fallbrook Union Elementary School District's measure be adopted, authorizing $76,000,000 in bonds at legal rates, levying a projected $30 per $100,000 assessed value while bonds are outstanding, generating $5,000,000 annually, with public oversight, audits, no funds for administrators, all funds staying local?

Bonds – Yes Bonds – No

This measure requires 55% of those voting on the measure.

COUNTY COUNSEL IMPARTIAL ANALYSIS

The Governing Board for the Fallbrook Union Elementary School District ("District") placed this measure on the ballot. If approved by 55% of the votes cast, this measure will authorize the District to issue and sell general obligation bonds in an amount not to exceed $76,000,000.

This measure will authorize a levy on the assessed value of taxable property within the geographical boundaries of the District in an amount needed to pay the principal and interest on the bonds each year the bonds are outstanding. The District estimates the average tax rate would be $30 for every $100,000 of assessed valuation, and the highest tax rate would be approximately $30 for every $100,000 of assessed valuation. The tax is anticipated to be collected through fiscal year 2062-2063.

The estimated total debt service, including principal and interest, required to be repaid if the bonds are issued and sold is approximately $167,000,000. Actual amounts may vary depending on the timing of sales, bonds sold at each sale, interest rates, and assessed valuation.

The measure identifies a list of projects at schools and facilities within the District that may be funded from the bond proceeds. Approval of this measure does not guarantee the proposed projects will be funded by the sale of the bonds. The District's proposal for certain projects may assume receipt of matching State funds subject to appropriation by the Legislature or approval of a statewide bond measure.

As required by State law, the measure states that the proceeds from the sale of the bonds may be used only for the purposes specified and that the District will establish an independent citizens' oversight committee and conduct an annual independent performance audit to ensure funds are spent only on the projects listed in the measure. The District must also conduct an annual, independent financial audit of bond proceeds. The District states it has evaluated safety, class size reduction, and information technology needs in developing the projects listed in the measure.

A "YES" vote is in favor of authorizing the District to issue and sell $76,000,000 in general obligation bonds.

A "NO" vote is against authorizing the District to issue and sell $76,000,000 in general obligation bonds.

TAX RATE STATEMENT

FALLBROOK UNION ELEMENTARY SCHOOL DISTRICT
GENERAL OBLIGATION BONDS
MEASURE K

An election will be held in Fallbrook Union Elementary School District (the "District") on November 3, 2026 for the purpose of submitting to the electors of the District the question of incurring bonded indebtedness of the District in the principal amount of $76,000,000. If such bonds are authorized and sold, the principal thereof and interest thereon will be payable from the proceeds of taxes levied on the taxable property in the District. The following information regarding tax rates is given in compliance with Section 9401 of the California Elections Code. This information is based upon the best estimates and projections presently available from official sources, upon experience within the District and other demonstrable factors.

Based upon the foregoing and projections of the assessed valuations of taxable property in the District, and assuming the entire debt service on the bonds will be paid through property taxation:

1. The best estimate of the average annual tax rate that would be required to be levied to fund the bond issue over the entire duration of the bond debt service, based on assessed valuations available at the time of the filing of this statement, or a projection based on experience within the same jurisdiction or other demonstrable factors is $30.00 per $100,000 of assessed valuation of all property to be taxed. It is estimated that the final fiscal year in which the tax is anticipated to be collected is fiscal year 2062-63.

2. The best estimate of the highest tax rate that would be required to be levied to fund the bond issue, and an estimate of the year in which that rate will apply, based on estimated assessed valuations available at the time of the filing of this statement, or a projection based on experience within the same jurisdiction or other demonstrable factors, is $30.00 per $100,000 of assessed valuation, which is projected to be the same in every fiscal year the bonds remain outstanding.

3. The best estimate of the total debt service, including the principal and interest, that would be required to be repaid if all the bonds are issued and sold is approximately $167,000,000.

Attention of voters is directed to the fact that the foregoing information is based upon projections and estimates only. The actual timing of sales of the bonds and the amount to be sold at any time will be governed by the needs of the District and other factors. The actual interest rates at which the bonds will be sold, which will not exceed the maximum permitted by law, will depend upon the bond market at the time of sale. The actual assessed valuations in future years will depend upon the value of property within the District as determined in the assessment and the equalization process. Assessed valuation is not the same as market price of real property. Therefore, the actual tax rates and the years in which those tax rates will be applicable may vary from those presently estimated and stated above.

Voters should note that estimated tax rates are based on the *ASSESSED VALUE* of taxable property on the County's official tax rolls, *not* on the property's market value. Property owners should consult their own property tax bills to determine their property's assessed value and any applicable tax exemptions.

Dated: August 6, 2026

/s/ Monika Hazel
Superintendent
Fallbrook Union Elementary School District